

Research Briefing | Italy

Coronavirus shocks push Italy to brink of recession

Economist

Nicola Nobile

Chief Italian Economist

+39 02 3659 9234

Stephen Foreman

Lead Industry Economist

+44(0)20 3910 8107

Tourism and leisure activities are the sectors suffering the most from the virus outbreak

Figure 1: Italy's tourism sector will be badly hit this year

- After Italian GDP contracted sharply in Q4 of last year, the coronavirus outbreak spells the near-certainty of a renewed contraction in Q1 that would leave Italy in a new recession, with its economy succumbing to a combination of virus-induced supply and demand shocks.
- Tourism and leisure are the sectors where activity is most affected at present. But, a deeper look into the automotive supply-chain shows that Italy, and indeed the entire eurozone, confronts a strong supply-shock related to the closure of a key Italian automotive supplier.

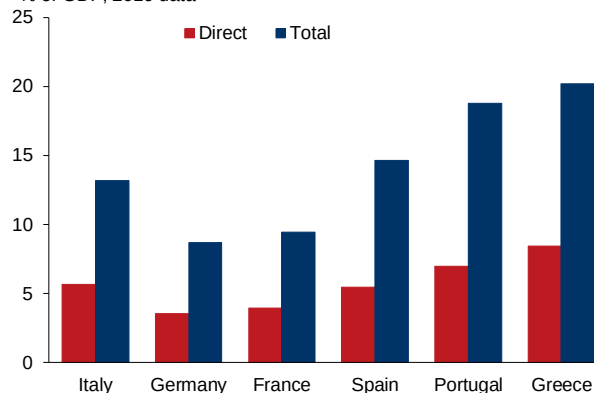
As of 27 February there were 660 cases of the coronavirus in Italy, far more than in any other European country. Time-lags in data releases mean we will need to wait at least four weeks to see business surveys – such as the ISTAT confidence indicators and March purchasing managers' indices – to gauge the economic impact of the outbreak on Italy.

At present, the Italian economy has been impacted by a combination of supply and demand shocks. Temporary factory closures in some areas of the north of Italy may cause supply-side disruptions elsewhere, for instance in the automotive sector. On the demand side, consumer spending is coming under pressure as Italian citizens stay at home to avoid infection, and inbound tourism from overseas declines, while lower business activity will put pressure on investment spending.

Anecdotal evidence, such as reports from business associations, suggest that the sectors most impacted from the spread of the coronavirus are those related to tourism, such as hotels and restaurants, which report business around 50% lower than in normal times. This sector accounts for around 13% of Italian GDP, one of the highest proportions in the eurozone, and 15% of employment, if indirect effects are considered (**Figure 1**).

Eurozone: Tourism sector

% of GDP, 2019 data



Source : Tourism Economics/Haver Analytics

Tourism in Italy accounts to around 6% of GDP, if only direct activities are considered. The total impact is much higher, at 13% of GDP.

The factory closure of a key electronics supplier to the Italian and European automotive industry could put the brakes on several Italian and eurozone car plants

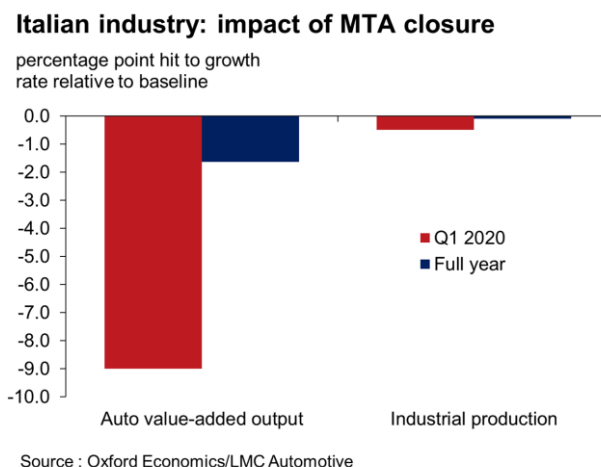
Another major concern is the degree to which temporary factory closures in Italy prompt supply chains elsewhere to slowdown or even halt. For instance, one of the areas in the north of Italy which is currently locked down and will likely continue to be for at least another week, is the headquarters for a major automotive electrical equipment supplier, MTA Advanced Automotive Solutions. The longer this factory closure lasts, the higher the risk of automotive factory closures in the supply-chain.

We have estimated the industrial impact of this factory closure under two scenarios. Under our first scenario we look at the impact of a 10-day shutdown of three FCA Italian production lines in Mirafiori, Cassino and Melfi, as well as the joint FCA-PSA Sevel line. Under the second scenario, we look at a more widespread shutdown of 10 days for all of FCA, Renault, BMW, Peugeot's plants across the eurozone. MTA has [publicly stated](#) that both of these scenarios are possible.

The first scenario results in a fall of 20,000 units in Italy's automotive production in Q1 2020 (relative to 237,000 units in our forthcoming industry baseline), and a 0.5ppt hit to quarterly (q/q) Italian industrial production growth in Q1, once accounting for supply-chain impacts (**Figure 2**). However, it is possible the disruption to headline industry could be slightly lower than this estimate, since auto suppliers such as metal makers and paint producers would not necessarily scale back production immediately and could instead let inventories build-up in the short-term and take a hit to profits. Under the second scenario, the impact is magnified, with around 200,000 units of lost automotive production across the eurozone in Q1 (in particular in Italy, Germany, France and Spain), equivalent to a 0.6ppt hit to eurozone q/q industrial production growth and 0.1ppt hit to eurozone GDP in Q1. This would leave eurozone industry in recession for a fourth consecutive quarter.

Overall, these risks to manufacturing alongside the ongoing deep contraction in tourism, and the disruption in the four provinces most affected by the virus outbreak control measures taken by the authorities (accounting for around 0.1% of Q1 GDP [per week](#) if only the direct effects of these is taken into account), point to a now near-inevitable renewed shrinking of Italy's economy in Q1. We will officially revise our Italian forecast next week, but we will very likely cut projected GDP growth in 2020 by around 0.5ppt, from stagnation in our February estimates.

Figure 2: The closure of a key Italian electronics supplier puts at risk our forecast for a Q1 stabilisation in the Italian automotive industry



We estimate that a 10-day closure of FCA's Italian production lines, including its joint light commercial vehicle venture with PSA, would lead to 20,000 units of lost automotive production in Q1, of which only around a quarter would be made up in Q2. For 2020, this translates to a hit of 1.6ppt to Italian automotive value-added output growth, keeping the industry in contraction for a third consecutive year.